# Business (J204)

## 2.3 Market segmentation
## Mr Nassar

Please note that you may see slight differences between this paper and the original.

Candidates answer on the Question paper.

**OCR supplied materials:**
Additional resources may be supplied with this paper.

**Other materials required:**
- Pencil
- Ruler (cm/mm)

**Duration:** 18 mins

| Candidate forename | | Candidate surname | |
|---|---|---|---|

| Centre number | | | | | | Candidate number | | | | |
|---|---|---|---|---|---|---|---|---|---|---|

## INSTRUCTIONS TO CANDIDATES

- Write your name, centre number and candidate number in the boxes above. Please write clearly and in capital letters.
- Use black ink. HB pencil may be used for graphs and diagrams only.
- Answer **all** the questions, unless your teacher tells you otherwise.
- Read each question carefully. Make sure you know what you have to do before starting your answer.
- Where space is provided below the question, please write your answer there.
- You may use additional paper, or a specific Answer sheet if one is provided, but you must clearly show your candidate number, centre number and question number(s).

## INFORMATION FOR CANDIDATES

- The quality of written communication is assessed in questions marked with either a pencil or an asterisk. In History and Geography a *Quality of extended response* question is marked with an asterisk, while a pencil is used for questions in which *Spelling, punctuation and grammar and the use of specialist terminology* is assessed.
- The number of marks is given in brackets **[ ]** at the end of each question or part question.
- The total number of marks for this paper is **18**.
- The total number of marks may take into account some 'either/or' question choices.

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1 **Text 1**

**J Sainsbury plc (Sainsbury's)**

Sainsbury's is one of the UK's largest supermarket chains. Sainsbury's targets middle to high income customers nationally. Sainsbury's is owned by shareholders who have limited liability.

The supermarket industry is very competitive, and marketing promotions are important. An example is Sainsbury's price match against similar products sold by Aldi, one of its competitors. Sainsbury's also spends a large proportion of its marketing budget on television advertising.

Developing new products is important to remain competitive, as customers are always looking for something new. Sainsbury's uses market segmentation to support successful product development.

Sainsbury's managers believe that good food should be accessible to everyone. They use primary market research to ensure the business develops products that meet the needs of its customers.

Analyse **one** likely reason why Sainsbury's uses market segmentation when developing new products.

**[3]**

2 **Nina's Knitting Supplies**

Nina runs a successful business selling knitting wool and sewing products. She opened her first shop 15 years ago. The business has grown organically and now sells products from 10 shops and a website. Nina uses market segmentation to target customers. Nina employs 80 people. She works hard to meet the shared objectives of her employees, as well as external stakeholder groups such as customers, suppliers, lenders and the local community.

Nina produces a weekly update that is sent by email to all employees every Friday. The updates contain information about the future development of the business, plus other stories of interest to employees. Recent stories include congratulating an employee on the birth of a child and the charity fundraising activities of one shop.

Nina plans to develop the business further over the next five years, especially as knitting is becoming an increasingly popular pastime. This has led to more competitors entering the market.

Explain **one** way that a business can segment its market.

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**[2]**

3 The owner of a toy shop wishes to use market segmentation to target customers.

What is an example of market segmentation?

**A** Encouraging customers into the shop by posting on social media
**B** Opening a second toy shop in the same town
**C** Organising the toys in the shop by age group
**D** Viewing a rival store's website to identify its special offers

Your answer ☐ **[1]**

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4

**Text 3**

**Miles Ahead**

Miles Ahead is a bicycle retailer which was set up in 2001 by entrepreneur, Reg Patel. Reg started with one shop, but the business has gradually expanded. There are now six 'Miles Ahead' shops. Despite the growth in Miles Ahead, Reg still operates the business as a sole trader, with 15 employees and a tall organisational structure. Reg segments the market (e.g. different bicycles according to age, gender, lifestyle and income), which he thinks has supported his success.

Reg is going to retire in six months' time. He is selling the business to Nessa Watts. Nessa has a lot of business experience. She has sold jewellery online as a sole trader for many years. Nessa has plans to expand Miles Ahead. Nessa has had to borrow £500 000 to purchase the business from Reg.

Nessa is considering whether to open more 'Miles Ahead' shops or launch a 'Miles Ahead' website so that customers can purchase online. Sales within the business have fallen over the past two years (see Fig. 2) which Nessa feels is due to the traditional appearance of the shops.

**Fig. 2**

The latest customer satisfaction information is also of concern to Nessa (see **Fig. 3**).

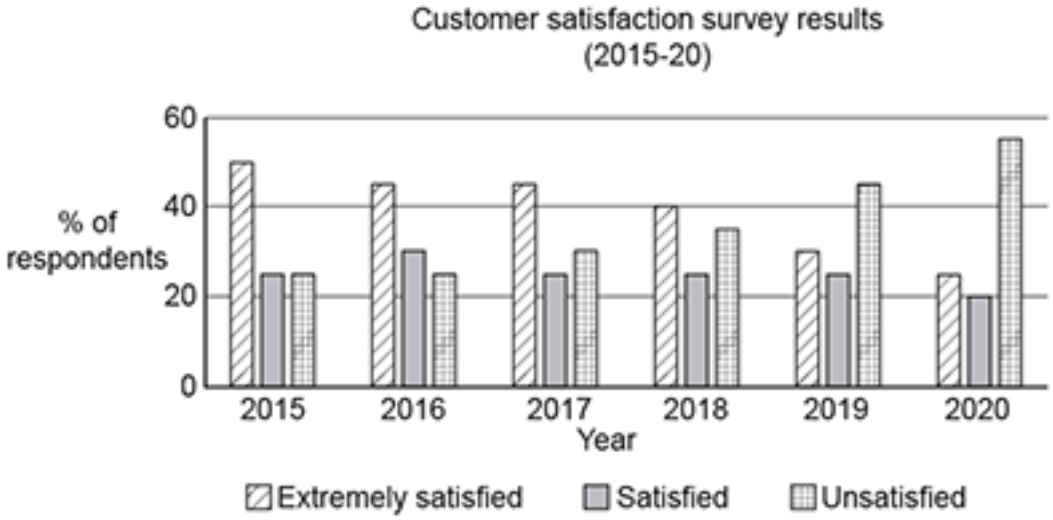



**Fig. 3**

Analyse **two** benefits for Miles Ahead of using market segmentation.

Benefit 1 _____

Benefit 2

[6]

5

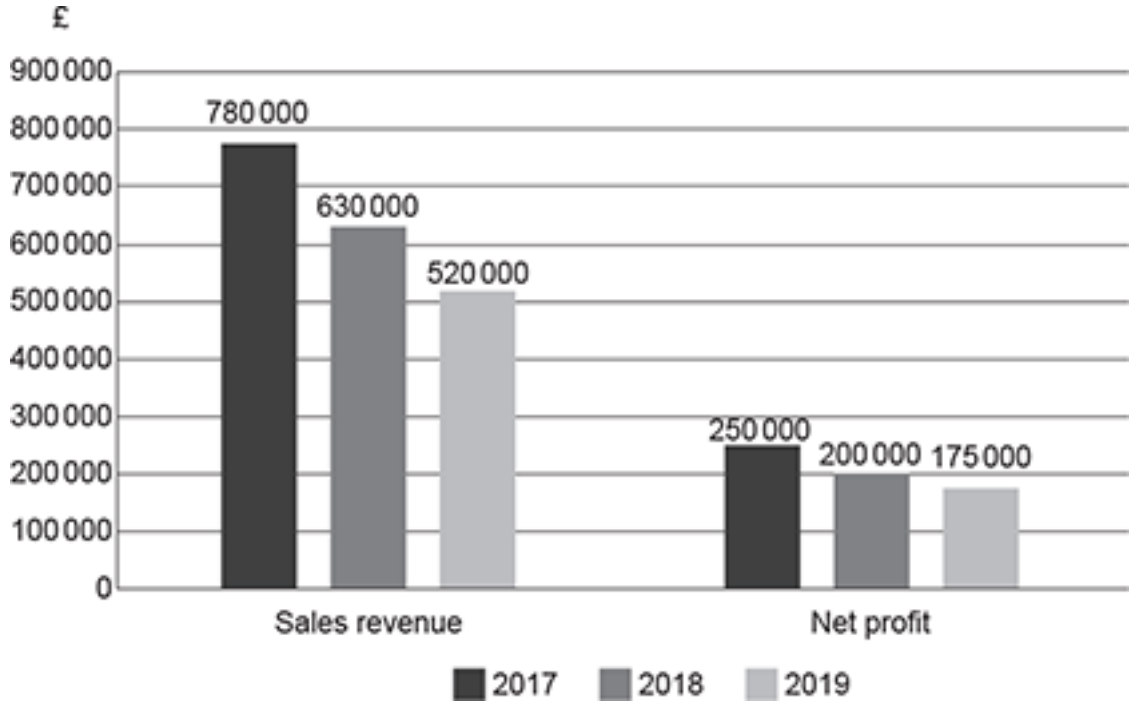
**Text 3**

**Best Foot Forward Ltd (BFF)**

Best Foot Forward Ltd (BFF) operates five stores in the north-west of England, selling shoes (such as ballet and tap) for adult dancers. Up until 2017, the business was growing, due to its reputation for quality products.

A new Managing Director, Jessie Thompson, was appointed six months ago to reverse the recent poor performance of the business.

**Fig. 1** BFF sales revenue and net profit (2017–2019)




BFF has never sold dance shoes for children and Jessie would like to expand into this market. Another business, specialising in selling children's dance shoes, closed down three months ago. Jessie is also concerned by market research which suggests that customer service is poor in BFF's stores. All store managers have been told to attend a five-day off-the-job training course on customer service.

To support the launch of the children's range, Jessie plans to create a new position of Marketing Manager (Children's Shoes) who will work alongside the Marketing Manager (Adults' Shoes). This employee will be recruited internally, despite many former employees from the children's shoe retailer which closed down still being out of work.

Table 1 gives some data about the recruitment of staff within BFF.

Table 1

| | Internal recruitment | External recruitment |
|---|---|---|
| Cost of recruitment | £500 | £2500 |
| Number of days taken to fill the job | 20 days | 60 days |
| Cost of induction | £200 | £1500 |

State **one** way that BFF could segment its dance shoe market.

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[1]

6 Which of the following is a benefit to a business of advertising on local radio?

A Can target a specific geographical area

B Detailed financial information can be included

C Free samples can be given out with the advertisement

D The product can be seen and demonstrated

Your answer [1]

7

**Text 1**

**The Ford Motor Company Ltd**

The Ford Motor Company Limited (Ford Motors) is a global manufacturer of a range of vehicles including cars, vans, trucks and buses. Ford Motors has been one of Britain's best-selling car brands for over 30 years, with a range of models including the KA, Fiesta, Focus, Mondeo and Galaxy. The company's large range of products includes models that differ in size to meet the individual needs of different market segments, including eco-friendly small cars, family cars, sports cars and 7-seater people carriers.

Ford Motors carries out a lot of market research when developing new car designs and uses both primary and secondary research. This ensures that new car designs and models meet the needs of potential customers.

Each model's sales levels are regularly monitored against the product lifecycle.

Explain how Ford Motors could use market segmentation when deciding where to place an advert for its new car models.

[2]

8

**Text 1**

**Boohoo.com**

Boohoo was started in 2006 by two entrepreneurs who had the idea of starting a business where customers could buy the latest fashions online.

Boohoo has expanded using organic growth, and has become a global online retailer of its own brand clothes, shoes and accessories. It now sells in over 100 countries. Boohoo charge for delivery. It has millions of website users per month.

The target market for the Boohoo brand is men and women who are 16 to 24 years old and are fashion conscious. To reach this market, Boohoo uses social media. The business is active on Facebook, Twitter, YouTube and Instagram.

Boohoo has also introduced apps for smartphones and tablets that allow customers to browse and buy products very easily.

Explain **one** advantage to Boohoo of using market segmentation.

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**[2]**

## END OF QUESTION PAPER

| Question | | | Answer/Indicative content | Marks | Guidance |
|---|---|---|---|---|---|
| 1 | | | **Analyse one likely reason why Sainsbury's uses market segmentation when developing new products.**<br><br>**Knowledge may include:**<br><br>• Create products for specific customer needs<br>• Tailor products for specific customer needs<br><br>**Application may include:**<br><br>• Aimed at middle to high income customers<br>• Sainsbury's develops new products to remain competitive<br>• Customers always looking for something new<br>• The supermarket industry is very competitive/lots of competitors<br>• Sainsbury's believes that good food should be accessible to everyone<br><br>**Analysis may include:**<br>Common analytical comments (which must stem from the reason stated) include positive impacts on market share, revenue, profit, competitive advantage, reputation, efficiency, etc.<br><br>**Exemplar responses:**<br>Can alter products to satisfy the needs (1) of the middle to high income customers (APP). This will help boost revenue (+1).<br><br>Can make products to target the needs of customer segments (1). This will help Sainsbury's to maintain customer loyalty (+1).<br><br>ARA | 3 (AO1a)<br>1 (AO2)<br>1 (AO3a)<br>1 | One mark for a reason for using market segmenta<br><br>*No further marks can be gained without knowledg*<br><br>One further mark for application to Sainsbury's.<br><br>One further mark for analysis of why market segm<br><br>**NB:** Analysis must be business-facing.<br><br>**NB:** No reward for what market segmentation is.<br><br>Answer **must** relate to product development i.e. create, make, design, tailor, develop, alter, cater for, implement customer needs. Including image, packaging, quality, ingredients.<br><br>Do **not** reward answers referring to post-development i.e. pricing, selling, promoting (marketing), advertising, launching, releasing, etc.<br><br>Do **not** reward adaptations that attempt to meet the needs of ALL customers (as this does not relate to market segmentation).<br><br>Examiner's Comments<br><br>This question was targeted at high ability candidates. Those that did well on this question had both a secure understanding of using market segmentation during product development and the ability to analyse the impact on Sainsbury's of this. Please see Exemplar 1 for a response that gained full marks. Further details of what examiners were looking for can be found in the published mark scheme.<br><br>By far the most common incorrect responses examiners read related to using market segmentation for advertising or pricing, whereas the question was specifically about the product itself, i.e. the P for Product in the marketing mix rather than Price or Promotion. This question uses the command word 'analyse' so |

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| Question | | | Answer/Indicative content | Marks | Guidance |
|---|---|---|---|---|---|
| | | | | | requires a reason developed through a chain of argument to an impact.<br><br>Exemplar 1<br><br>This response begins by suggesting that Sainsbury's could use market segmentation to alter products to meet the specific needs and wants of its customers. This valid knowledge is developed by a logical chain of argument to suggest that this would lead to greater customer satisfaction, a good reputation and a good brand image. This is Analysis. By including in the response that Sainsbury's operates in 'a very competitive industry', the answer also demonstrates Application. This response, therefore, gains full marks – one mark for Knowledge, one mark for Application and one mark for Analysis. |
| | | | Total | 3 | |

| Question | | | Answer/Indicative content | Marks | Guidance |
|---|---|---|---|---|---|
| 2 | | | **Explain one way that a business can segment its market.**<br><br>**Knowledge**:<br><br>• Age<br>• Gender/Sex<br>• Income<br>• Location<br>• Lifestyle<br><br>**Understanding may include**:<br><br>• Age e.g. target young/old/babies/children/teenagers/over 50s, etc<br>• Gender/sex e.g. target male/female/men/women/non-binary, etc<br>• Income e.g. target well paid/low paid/affluent/rich/poor/high earners, etc<br>• Location e.g. target locals, specific region, nations, etc<br>• Lifestyle e.g. healthy, sports, outdoor pursuits, hobbies, etc<br><br>**Exemplar responses**:<br><br>One way a business could segment its market is by age (K), for example aiming to sell to elderly people (U).<br><br>By gender (K) by targeting your marketing particularly at women (U).<br><br>**ARA** | 2<br>(AO1a)<br>1<br>(AO1b)<br>1 | One mark for knowledge of a method of segmentation.<br><br>One mark for showing understanding of how the method of segmentation can be used.<br><br>*Answers do not need to relate to Nina's Knitting Supplies.*<br><br>Accept 'boys' for age or gender.<br>Accept 'girls' for age or gender.<br>'Boys and girls' age only.<br><br>Examiner's Comments<br><br>Examiners were looking for a 'way'. The majority of candidates were able to suggest a 'way', gaining at least 1 of the available 2 marks. By far the most common correct 'ways' were 'by age' and 'by gender'.<br><br>Those candidates who developed their answer through to explanation, e.g. by stating that 'by age' might mean targeting the elderly or 'by gender' might mean advertising specifically to women, etc. were given full marks.<br><br>**Assessment for learning**<br><br>Centres are advised to spend sufficient time developing candidate understanding of the demands of the command words in the questions. This question began with the word 'explain' rather than 'identify' therefore some development was needed to gain full marks.<br><br>**OCR support**<br><br>To help centres and candidates OCR has included in the specification for this qualification a full list of possible command words that could appear on the exam paper.<br><br>Centres should make sure that candidates |

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| Question | | | Answer/Indicative content | Marks | Guidance |
|---|---|---|---|---|---|
| | | | | | have a robust understanding of what is required by each command word listed in the specification. |
| | | | Total | 2 | |
| 3 | | | C | 1<br>(AO2) | |
| | | | Total | 1 | |

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| Question | | | Answer/Indicative content | Marks | Guidance |
|---|---|---|---|---|---|
| 4 | | | **Analyse two benefits for Miles Ahead of using segmentation.**<br><br>**Understanding may include:**<br><br>• Helps target specific customers/markets<br>• Better meet customer needs<br>• Can design the promotion/marketing campaign to attract a specific group<br>• Can alter the price/pricing strategy to attract a specific group<br>• Can adjust the product/product range to attract a specific group<br>• Can change the place/channels of distribution to attract a specific group<br>• Avoid wasting money on broad (non-targetted) advertising.<br><br>**Application may include:**<br><br>• Sole trader<br>• 6 stores<br>• No online sales/bricks and mortar retailer<br>• Established 20 years<br>• Declining customer satisfaction<br>• Declining sales revenue<br>• Tall structure currently<br>• Currently segments via age, gender, lifestyle and income<br>• Reg thinks it has been successful.<br><br>**Analysis may include:**<br><br>• Greater return on marketing expenditure<br>• Improved customer satisfaction<br>• Increased sales revenue<br>• Improved customer retention<br>• Improved brand reputation<br>• Increased market share<br>• Reduced risk of failure<br>• Increased profit.<br><br>**Exemplar responses:**<br><br>Miles Ahead will better meet customer needs (U) in its 6 shops (APP) which could lead to increased sales revenue (AN)<br><br>Reg has limited sources of finance being a sole trader (APP). Segmenting the market should increase the return on market expenditure (AN) because advertising is | 6<br>AO1b 2<br>AO2 2<br>AO3a 2 | In each case:<br>One mark for understanding of a benefit of using segmentation. U<br><br>*No further marks can be gained without understanding.*<br><br>One further mark for application to Miles Ahead. APP<br>One further mark for analysis of a benefit to business of using segmentation. AN<br><br>NB: Do not accept 'more successful' as an impact, as this is stated in the text and is TV. |

| Question | | | Answer/Indicative content | Marks | Guidance |
|---|---|---|---|---|---|
| | | | targeted to specific customer groups (U).<br>ARA | | |
| | | | Total | 6 | |
| 5 | | | **State one way that BFF could segment its dance shoe market.**<br><br>**Ways to segment include:**<br><br>• Age<br>• Type of dance shoe e.g. ballet / tap<br>• Gender<br>• Income<br>• Location<br>• Lifestyle.<br><br>ARA | 1<br>AO1a<br>(K) 1 | 1 mark for knowledge of a criterion for segmenting a market.<br><br>No context required.<br><br>Do **not** award location of advertising as this is not the question e.g. do **not** award 'advertise on TV to children', or 'advertise near a dance class' or 'online'. Location refers to the customer characteristic itself i.e. by customer location. |
| | | | Total | 1 | |
| 6 | | | A | 1<br>AO1b | |
| | | | Total | 1 | |

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| Question | | | Answer/Indicative content | Marks | Guidance |
|---|---|---|---|---|---|
| 7 | | | **Explain how Ford Motors could use market segmentation when deciding where to place an advert for its new car models.**<br><br>**Answers may include:**<br><br>• To target the advertising<br><br>**Exemplar responses:**<br>The company could then advertise the cars ✓ APP in the way that would appeal to its target market ✓.<br><br>It allows Ford Motors to advertise in a way which directs its adverts ✓ at high income sports car ✓ APP owners.<br><br>It allows Ford Motors to target its advertising at different age groups ✓.<br><br>ARA | 2<br>AO1b 1<br>AO2 1 | 1 mark for understanding of how market segmentation may be used when placing an advert plus one mark for application.<br><br>Annotate as:<br><br>Use of market segmentation for advertising ✓<br>Application to Ford ✓ APP<br>Application is likely to include a reference to cars, vans, trucks, buses, names of models, vehicles, transport, etc.<br><br>Do not accept 'model', annotate TV.<br><br><u>Examiner's Comments</u><br><br>This question divided candidates. Examiners saw many exceptionally good answers to this question – each showing a clear understanding of how market segmentation could help decide where to place an advertisement for new car models. At the other end of the spectrum examiners saw answers that showed no knowledge of market segmentation whatsoever.<br><br>It should be noted that the question asked for how Ford could use market segmentation to decide where to place an advertisement, responses that simply discussed what market segmentation was did not answer the question and could not be given credit.<br><br>The best answers to this question tended to use an example as part of their explanation, for instance suggesting that people carriers should be advertised on children's television channels, although an example was not required for the award of the marks. |
| | | | Total | 2 | |

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| Question | | | Answer/Indicative content | Marks | Guidance |
|---|---|---|---|---|---|
| 8 | | | Answers may include:<br><br>• identify similar characteristics<br>• target marketing more effectively<br>• modify products/price/promotion/place to suit segment<br>• allocate budgets<br>• identify new segments<br><br>Exemplar response:<br>Market segmentation makes it easier for a business to identify characteristics of their customers (1) so Boohoo can target its products at those between 16 to 24 years old (1). | 2<br>AO1a 1<br>AO2 1 | 1 mark for identification of an advantage of using market segmentation.<br><br>1 further mark for application of an advantage of using market segmentation to Boohoo.<br><br>ARA |
| | | | Total | 2 | |

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